Who Needs Whom? Apple and the Chinese State

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In May 2016 Beijing summoned Tim Cook to Zhongnanhai. He brought a $275 billion pledge.

YOUR IB VOICE

WEIGH THE LEVERAGE

Apple’s suppliers employed more than a million Chinese workers, yet Beijing was pursuing new labor laws that threatened Apple’s China operations. In 2016, who needed whom more: Apple or the Chinese state?

10 minutes · Individual · Notes permitted

Who needed whom more in 2016?

Apple needed China more: its whole supply chain was there.

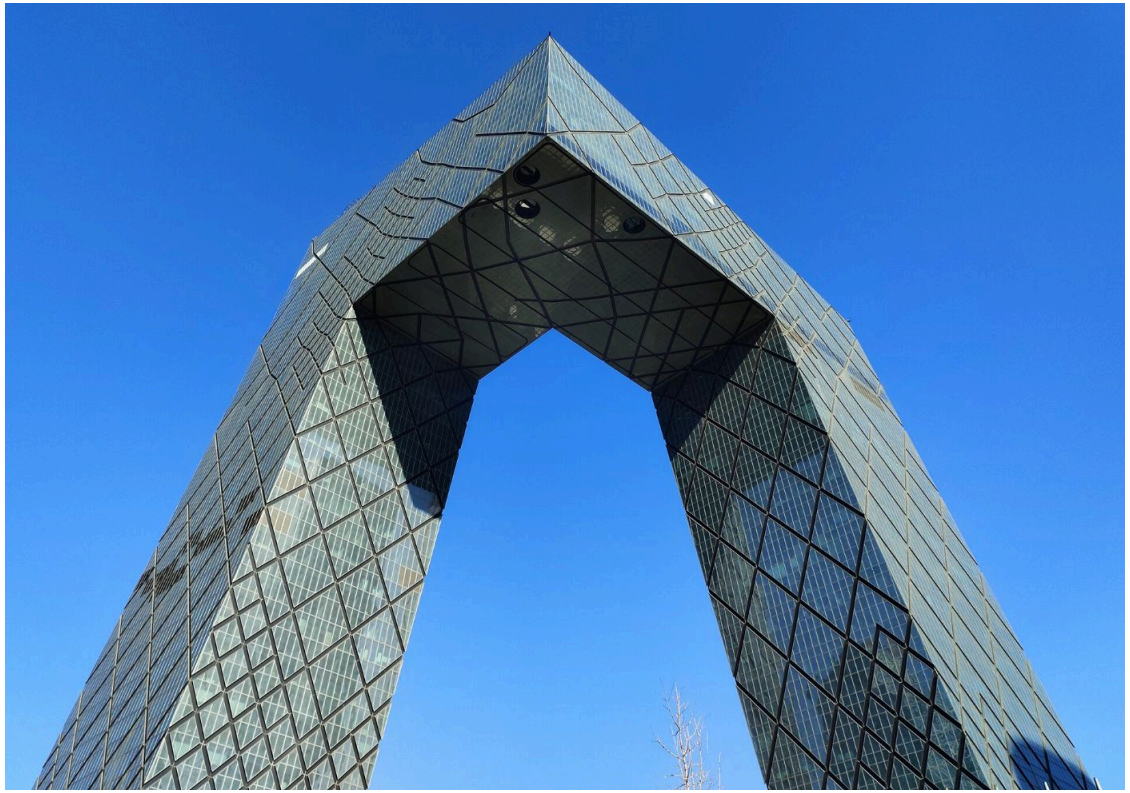
China needed Apple more, because Apple’s suppliers employed and trained millions.

Beijing held the leverage, because it wrote the rules and chose when to enforce them.

Apple held the leverage, because it could move production to another country.

What could Beijing do to Apple?

State television turned on Apple on Consumer Day, 2013



CNHowey, *Beijing CCTV building*, 2024 · Wikimedia Commons, CC0.

March 15: CCTV’s consumer-rights gala accused Apple of shortchanging Chinese buyers on warranties

Celebrities piled on

People’s Daily called Apple “incomparably arrogant”

April 1: Tim Cook apologized, in Chinese

> The state can punish a firm through its media as well as its laws

Doug Guthrie saw that China wanted something



INMA/Jarle Naustvik, *Doug Guthrie, Building the Creative Organization, Gulltaggen 2010*, 2010 · Wikimedia Commons, CC BY 2.0.

Until 2013 suppliers like Foxconn dealt with provincial officials; no high-level Apple executive lived in China

Guthrie, a Mandarin-speaking scholar of China's local institutions, joined Apple in 2013 and asked to be sent to Shanghai

> He read Beijing's pressure as a demand Apple could meet



“You’re *supposed* to be out of compliance.”

The 2014 rule capped temporary workers at 10 percent

Dispatch workers are hired through an agency, not the factory; many are rural migrants without local residency (*hukou*)

Estimates ran from 27 million (labor ministry, 2011) to 60 million (official union)

China has about 300 million migrant workers

2008
New labor law makes regular workers costlier; agency hiring has no limit

July 2013
Agency workers must get equal pay and may fill only short jobs (under six months), support jobs, or fill-ins

March 2014
Agency workers capped at 10% of each company's workforce

March 2016
Deadline to get under the cap

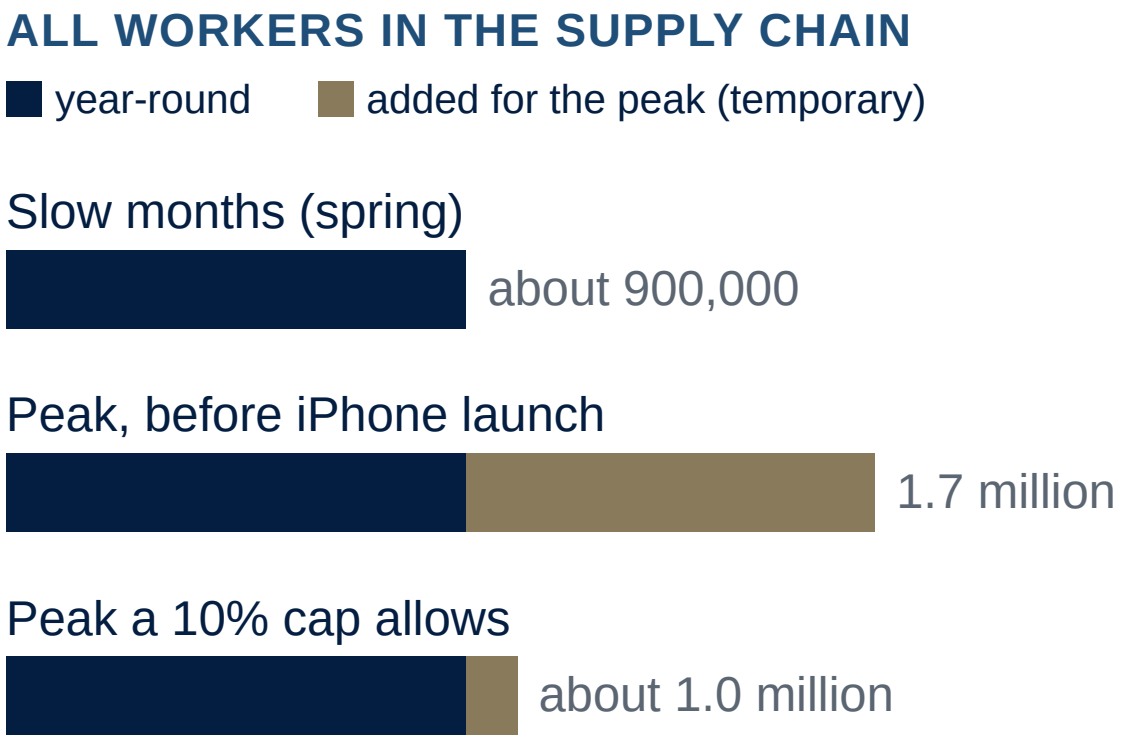
Ministry of Human Resources and Social Security, *Interim Provisions on Labor Dispatch* (2014); China Briefing

> The cap struck at the flexible labor Apple's seasonal production increases depended on

A labor law Apple’s suppliers did not obey

Nearly half of 362 supplier factories broke the 10 percent cap, and 80 used temporary workers for over half their staff.

The law was national but enforced locally, so each city could chose which factory to punish.



McGee, *Apple in China* (2025), p. 261, citing internal Apple documents

> A rule that lets the state press one factory at a time.

Apple scored lowest of all large multinationals

22.5

out of 100 was Apple’s score in the state’s first corporate responsibility ranking, in 2015

Apple was the only foreign firm on the list not labeled a **joint venture**. Samsung, with Chinese partners, scored best.

Different conceptualizations of CSR: bottom up (US) vs top down (China)

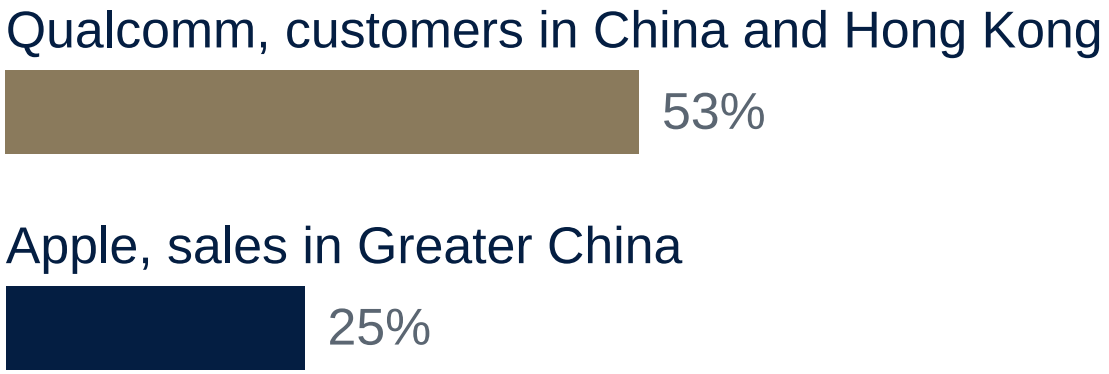
Beijing sent a tax bill, a low score, a labor law, and fines on Apple’s engineers. Do you think any of these was a serious threat?

Qualcomm depended on China

Qualcomm earns a fee on every smartphone using its technology, and over half its revenue came from China.

In 2015 it paid a $975 million fine and agreed to a joint venture.

SHARE OF REVENUE FROM CHINA, FISCAL 2015

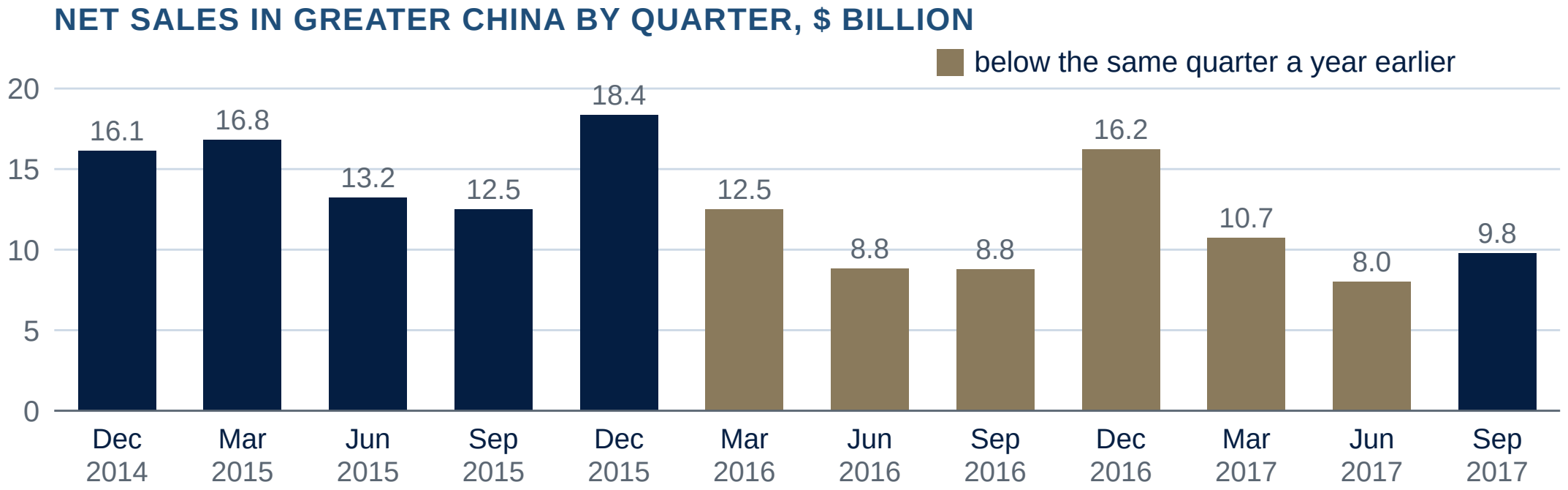


QUALCOMM Inc. and Apple Inc., *Forms 10-K, fiscal 2015*, revenue by customer location and by segment.

> In a **firm-government bargain**, each side's leverage is what it could withhold from the other

What did Apple have that Beijing wanted?

Apple needed China's growth

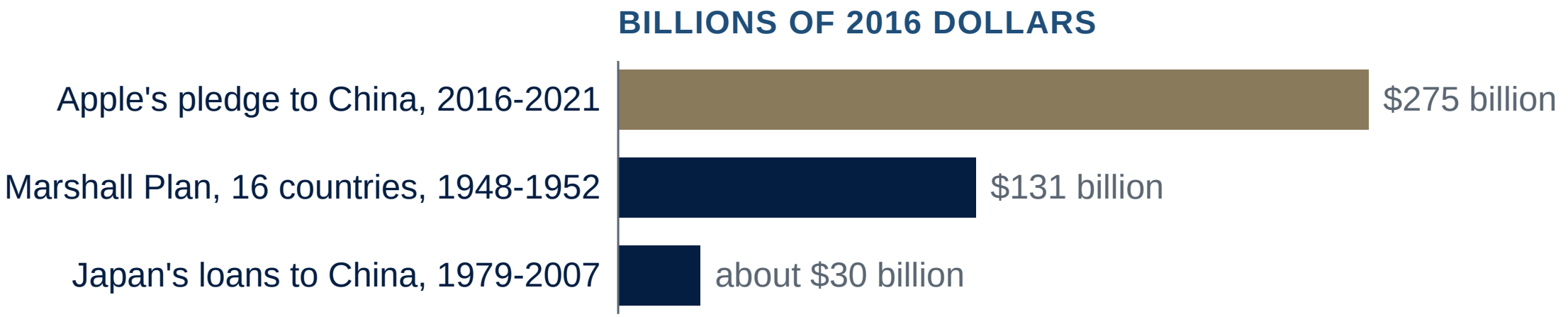


Apple Inc., *Forms 10-Q and 10-K, fiscal 2015 to 2017*, net sales by reportable segment.

Sales fell for six straight quarters from early 2016, and in April regulators shut Apple's new iTunes and iBooks stores (higher margin services).

> The weaker Apple's position in the market, the more it needed something the state valued.

Apple’s pledge was twice the Marshall Plan



McGee, *Apple in China* (2025), p. 281; comparisons in 2016 dollars.

The $275 billion was Apple’s estimate of $55 billion spent in China in 2015, multiplied by five years, so it promised nothing new.

More investment promised by Apple to China than all of NAFTA to Mexico

> What did Apple change in 2016?

In 2016 Cook told Beijing what it was already getting

4,000

engineers worked in Apple’s China operations team within a few years of 2013, up from 1,000

Beijing measured technology transfer by joint ventures, and Apple had none

Yet Cook emphasized how Apple’s engineers trained Chinese suppliers, adapted machines for them, and bought what they made

The skills stayed with the suppliers, who could also use them for Chinese firms

If Apple’s know-how was so valuable to China, why did Apple have to tell Beijing about it?

> What does the answer suggest about secrecy as a bargaining strategy?

China’s declining exports reliance on foreign firms



Ministry of Commerce of the People’s Republic of China, *Statistical Bulletin of FDI in China 2023*, Appendix 13.

From 2001 to 2011 foreign-invested firms made more than half of what China sold abroad, so Beijing’s growth depended on them.

> Two sides are mutually dependent when each would lose from a break (the side that would lose less holds more leverage)

Once China has learned, who needs whom?

Beijing made foreign train makers compete to teach



□□□□, *CRH2C & CRH3C*, 2008 · Wikimedia Commons, CC BY-SA 3.0. Japanese design left, German right.

2004: China bought only from firms that transferred technology to a Chinese partner

Kawasaki, Bombardier, Alstom, and Siemens each taught CSR or CNR, two rival state groups

Siemens lost round one, then cut its technology fee from €390 to €80 million

2015: CSR and CNR merged into CRRC, the world’s largest train maker

> Competition among teachers lowered the price of learning



By 2017 China ran trains of its own design, the Fuxing, on the world’s largest high-speed network.

Beijing also recruited people and appointed champions



S5A-0043, *Apollo Go Apollo RT6, Wuhan*, 2025 · Wikimedia Commons, CC BY 4.0.

2008: the Thousand Talents Plan began paying scientists abroad to work in China; about 7,000 by 2017

It was one of more than 200 such plans, a U.S. Senate inquiry found

2017: the science ministry named four companies to lead China’s AI work: Baidu cars, Alibaba cities, Tencent medical imaging, iFlytek voice

> Talent plans bought know-how in frontier industries

Beijing made train makers compete to teach it. Apple taught China without being asked. Which bargain left the foreign firm with more leverage afterward?



In 2018 Shanghai let Tesla build a car plant with no Chinese partner, a first for a foreign carmaker.

Joint ventures did not previously teach China to build cars



ChengH, *1983 Shanghai-Volkswagen Santana*, 2015 · Wikimedia Commons, CC BY-SA 4.0.

From 1984 foreign carmakers entered China through joint ventures meant to teach Chinese partners to build and export.

By 2016 Germans held over 70 percent of the premium market, and no Chinese brand competed abroad.

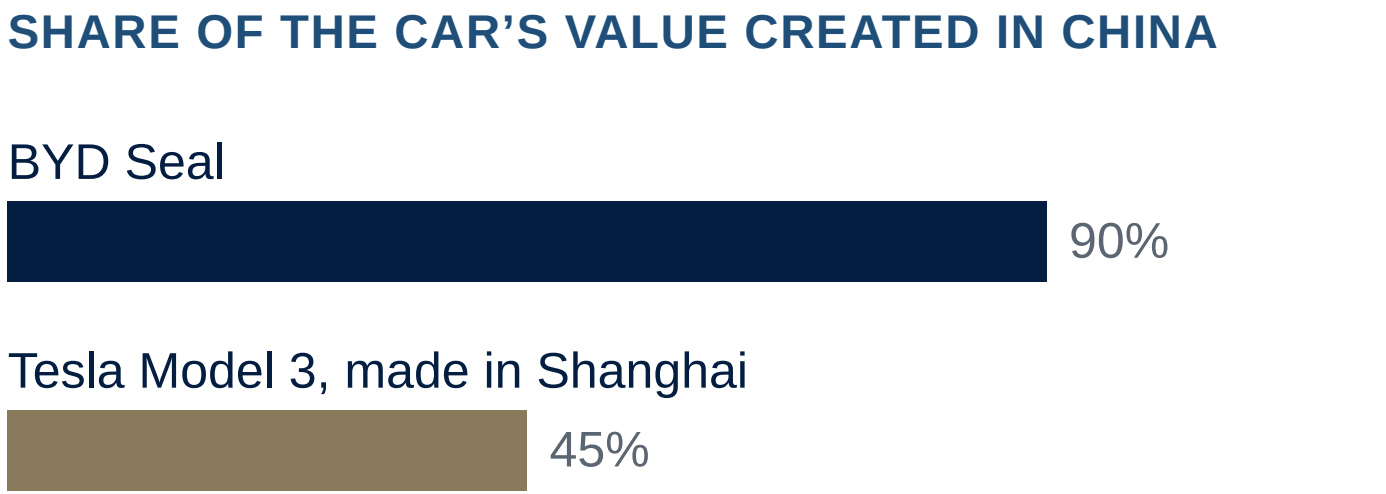
> A share of the profits did not give Chinese partners the know-how.

Beijing wanted Tesla to be the catfish

People’s Daily (2024): Tesla’s Shanghai plant had a “catfish effect” on Chinese carmakers

Over 95 percent of its parts are made in China

Chips are the exception: about 97 percent are foreign



Xing, Yang, Cai, and Wang, *Technological Independence and Domestic Value Added of Chinese Electric Vehicles*, GRIPS Discussion Paper 24-15 (2025), from teardowns

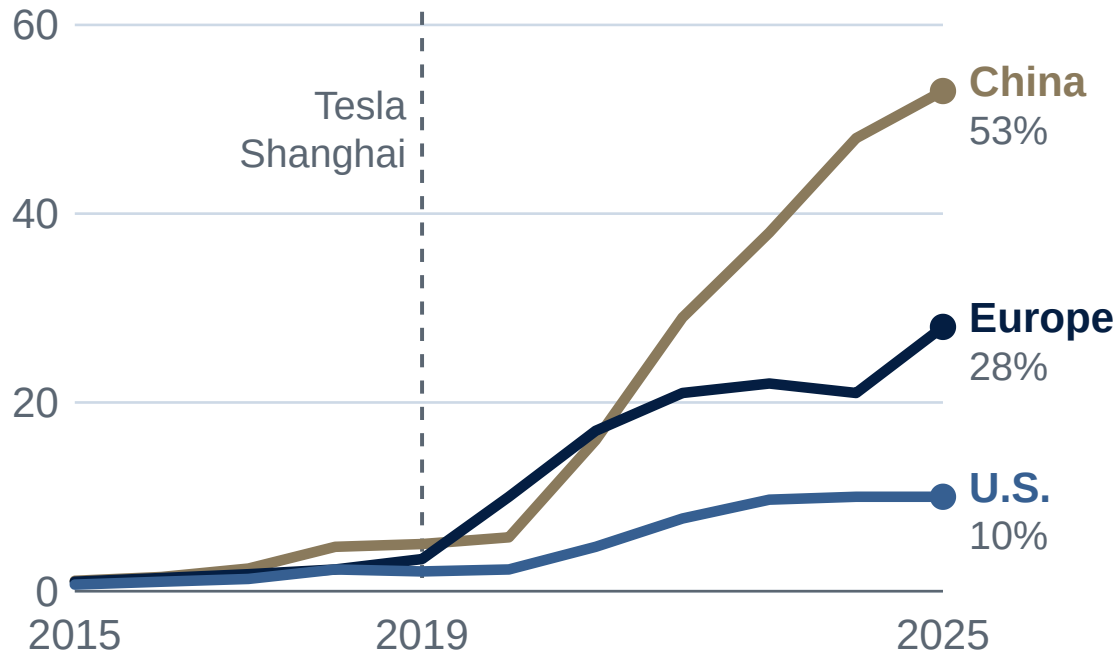
> The sardines learned to build the whole car

Tesla’s suppliers learned to build for BYD

Tesla trained local suppliers that also serve Chinese carmakers such as BYD, which McGee calls the Apple model.

Half of China’s new cars are now electric, twice Europe’s share.

ELECTRIC SHARE OF NEW CAR SALES, %



International Energy Agency, *Global EV Data Explorer*, EV sales share of new cars.

> Leverage shifts toward the state as local firms learn

Over a hundred brands sell EVs in China

129

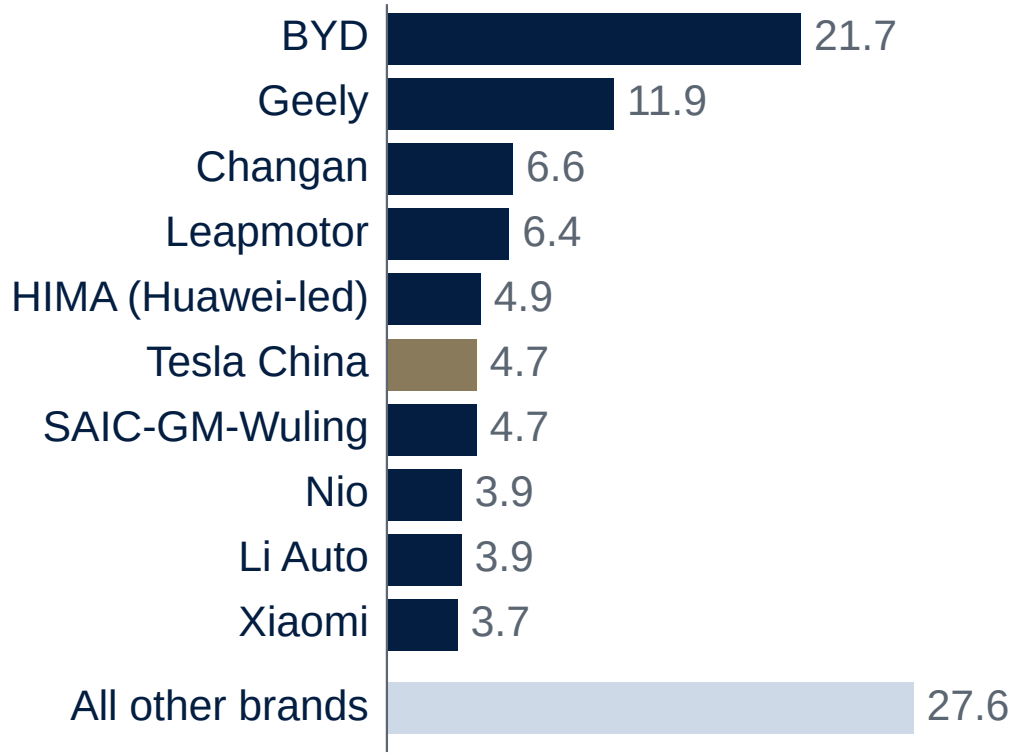
brands sold electric or plug-in hybrid cars in China in 2025

AlixPartners expects 15 to be viable by 2030

Since 2024 BYD’s share fell from 34 to 22 percent, Tesla’s from 6 to 5

> Tesla is now one of the sardines

SHARE OF NEV RETAIL SALES, JAN–AUG 2026, %



China Passenger Car Association via CnEVPost, retail sales, January–August 2026

What does the EV case mean for Apple’s leverage in China?

Who needs whom in your industry?

Decide who needs whom in your industry

1. **Select** one firm in your team’s network and one government whose decisions it depends on.
2. **Diagnose** what each side could withhold from the other, and which of those the other could replace. Who has the leverage?
3. **Recommend** one thing the firm could show that government about its contribution, in terms the government values.

13 minutes · Industry teams ·

Where, if anywhere, did your team find that the government needs the firm more than the firm needs it?

> What would make that leverage expire?

Who needed whom?

Apple needed China’s flexible workforce, and Beijing could threaten it with rules it chose when to enforce.

China needed Apple’s know-how, but Beijing valued it only once Apple described it in Beijing’s terms.

The $275 billion pledge promised no new money, but it told Beijing what it was already getting.

As Chinese firms learn, China’s reliance on foreign firms diminishes